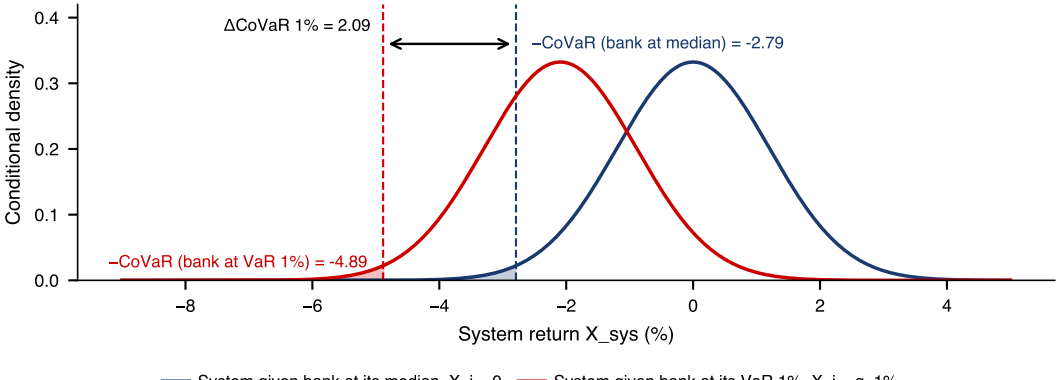
ΔCoVaR 1% = 2.09
−CoVaR (bank at median) = -2.79
−CoVaR (bank at VaR 1%) = -4.89
Conditional density
0.0
0.1
0.2
0.3
0.4
−8
−6
−4
−2
0
2
4
System return X_sys (%)
System given bank at its median, X_i = 0
System given bank at its VaR 1%, X_i = q_1%